in India, where investigation capabilities are poor, there is the risk that a careful investigation into a narrow violation morphs into a fishing inquiry that expands to many more individuals and entities. Investigations can turn into witch-hunts, with motivations such as extortion, personal vendetta, and settling scores. Each person drawn into the investigation, and a few dozen close friends, will experience enhanced fear owing to the investigation and thus pull back from risk-taking.

A certain subset of financial decisions (to lend or to invest) will always go bad. When investigations are in the air, financial firms will become more risk averse, at a time when stressed firms require equity and debt capital. This constitutes one more element of positive feedback loops.

Policymaking in normal times versus a crisis

Under normal circumstances, we aim for the development of institutional capacity. This involves clarity of objectives, development of process manuals, and skills in the humans to operate those manuals. As an example, banking supervision can be refined over the years into a process-driven activity. Over the years, institutional capacity for banking supervision can develop.

Macroeconomic/financial crises resist the development of such manuals for two reasons. The first problem is that these are not activities which take place every day. The economic policy community must perhaps learn from the defence community, about how the FSDC staff can continuously train, in peacetime, for the next war. At present, the staff of policy organizations like the Ministry of Finance are not training in peacetime for the next crisis; they are fully taken doing other things. [5]

> *All happy families are alike; each unhappy family is unhappy in its own way.*
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> *Anna Karenina* by Leo Tolstoy